3.7.2 Efficiency ratios and the value of ratios

Unit 3.7 Analysing the strategic position of a business · 6 key points

- **Payables days:** payables ÷ cost of sales × 365
- **Receivables days:** receivables ÷ revenue × 365
- **Inventory turnover:** cost of sales ÷ average inventories held
- **Comparing ratios:** over time and with other businesses in the same industry
- **Limitations of ratios:** historical, a snapshot, ignore qualitative factors, can be window-dressed
- **Trap:** receivables use revenue; payables and inventory use cost of sales